IN THE NATIONAL COMPANY LAW TRIBUNAL
SINGLE BENCH, CHENNAI

CP/371/CAA/2019
in
[CAs/209 & 210/CAA/2018]

Under Sections 230 to 232 of the Companies Act, 2013

In the matter of **Scheme of Amalgamation**

Between

M/s. Gujarat Agrochem Private Limited
... Transferor Company

With

M/s. Tagros Chemicals India Private Limited
... Transferee Company

And

Their respective Shareholders and Creditors

Order delivered on 8th April, 2019

CORAM:

CH. MOHD SHARIEF TARIQ, MEMBER(J)

For Petitioner(s) : Mr. P.H.Arvindh Pandian, Senior Counsel
for M/s. Pawan Jhabakh, Mr. Chandra Prakash Surana &
Mr. Abishek Raman, Counsels

ORDER

Per: CH. MOHD SHARIEF TARIQ, MEMBER (J):

1. Under consideration is the Company Petition No.371/CAA/2019 filed under Sections 230 to 232 of the Companies Act, 2013 r/w the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016. As per the Scheme of Amalgamation (in

Short, **'Scheme'**), M/s. Gujarat Agrochem Private Limited (hereafter referred to as **'Transferor Company'**) is proposed to be merged, amalgamated and vested with M/s. Tagros Chemicals India Private Limited (hereafter referred to as **'Transferee Company'**) as a going concern.

2. The Transferor Company was incorporated under the Companies Act, 1956 on 22.03.1995, having its Registered Office at No.72, Marshalls Road, Jhaver Centre, Rajah Annamalai Building, IV Floor, Egmore, Chennai – 600 008. The Transferee Company was incorporated under the Companies Act, 1956, having its Registered Office at No.72, Marshalls Road, Jhaver Centre, Rajah Annamalai Building, IV Floor, Egmore, Chennai – 600 008.

3. The Transferor Company is engaged in the business of manufacturing and export of agrochemicals products, etc. The details of the main objects are set out in the Memorandum of Association of the Transferor Company. The Transferee Company is engaged in the business of manufacturing and export of pesticides,

agrochemicals and chemicals for industrial and other purposes, etc. The details of the main objects are set out in the Memorandum of Association of the Transferee Company. The Board of Directors of the Transferor Company vide its Resolution dated 27.09.2018, have approved the present Scheme of Amalgamation. The other necessary requirements have also been fulfilled as per the Order dated 03.01.2019 passed by this Bench in CAs/209 to 210/CAA/2018.

4. The Counsel appearing for the Petitioner Companies has submitted that the rationale and circumstances that have necessitated the present Scheme are that amalgamation of Transferor Company with the Transferee Company will enable greater integration, financial strength and flexibility for the amalgamated entity which will facilitate in focussed growth, operational efficiencies, business synergies and better supervision of the business of the group and pooling of resources of the Transferor Company with the resources of the Transferee Company to their

advantage, resulting in more productive utilisation of resources. He has further submitted that no investigation proceedings are pending against the Petitioner Companies under Sections 235 to 251 of the Companies Act, 1956 or corresponding provisions of the Companies Act, 2013.

5. The Regional Director, Southern Region (In short, '**RD**') in his Affidavit dated 22.02.2019 submitted that Clause 9 of the Scheme provides for the protection of the interest of the employees/staff/workmen of the Transferor Company. It has further been submitted that as per the report of the RoC, Chennai, the Transferor and Transferee Companies are regular in filing their statutory returns. He has further submitted that no complaints are pending and no inspection or investigation has been conducted against the Transferor Company. As for the Transferee Company an inspection was carried out by the Ministry of Corporate Affairs under Section 206(5) of the Companies Act, 2013 and on the basis of the said report follow up action is going on which will be taken

to its logical conclusion, and there is no complaint/investigation is pending against the Transferee Company.

6. The RD has observed under para 9 of his Affidavit that Clause 16, Part-II of the Scheme has stated that the authorised capital of the Transferor Company will be merged with the authorised capital of the Transferee Company. Therefore, the Transferee Company may be directed to file the amended MoA and AoA with the RoC, Chennai for records, and pay the fees, if any, for the enhanced authorised capital subsequent to the amalgamation after setting off the fees paid by the Transferor Company.

7. In relation to the observation made by the RD under para 9 of his Affidavit, the authorised representatives of the Petitioner Companies have filed an Affidavit deposing therein that the Transferee Company undertakes to file the amended MoA and AoA with the concerned RoC, and to pay the requisite statutory fee payable upon increase of the authorised share capital of the Transferee Company as per the applicable legal

provisions. Accordingly, the Transferee Company shall amend the MoA and AoA and file the same with the concerned RoC, and shall pay fee as may be required.

8. The RD has further observed under para 10 of his Affidavit that the Scheme in Clause 16 of Part-II the combined capital is mentioned as Rs.27,00,00,000/- instead of Rs.27,20,00,000/-. The RD has suggested that the Transferee Company may be directed to file the necessary e-forms with RoC, Chennai indicating the correct authorised capital. The RD has not raised any other objection.

9. With regard to the observation made by the RD under para 10 of his Affidavit, the authorized representatives have stated in the Affidavit that there was a typographical error in the authorized share capital of Transferor Company in Clause 3.2. The authorised share capital of the Transferor Company has been mentioned as Rs.12,00,00,000/- instead of Rs.12,20,00,000/- and the Combination of authorised share capital in clause 16 has been mentioned as Rs.27,00,00,000/- divided into 2,60,00,000 equity

shares of Rs.10/- each and 1,00,000 preference shares of Rs.100/- each instead of Rs.27,20,00,000/- divided into 2,62,00,000 equity shares of face value of Rs.10/- each and 1,00,000 preference shares of Rs.100/- each. They have further stated that the revised Scheme of Amalgamation was approved by the Board of Directors and Shareholders of both the Companies. It is further stated that the revised Scheme was placed in the meeting of the Unsecured Creditors of the Transferor Company and the same has been approved, and the Chairman's report was filed on 15th February 2019 along with the revised Scheme of Amalgamation. Also they have stated that the Transferor Company has filed the Petition with the Revised Scheme of Amalgamation, revised Board Resolution and the Shareholders' Consent Affidavits of both the Companies. Further stated that there was only a typographical error and the same is rectified in the Scheme and there was no increase in Authorised Share Capital of the Transferee Company and hence there is no requirement of filing e-forms with the RoC. It is also stated that the proposed Scheme of

Amalgamation does not fall under the thresholds of the Competition Act, 2002 and the Companies are not required to take any approval from the Competition Commission of India.

10. The Official Liquidator (In short, **'OL'**) in his Report dated 11.03.2019, submitted that on receiving the copy of the Order dated 03.01.2019 passed in CA/209 & 210/2018, he has nominated M/s. Srihari & Co., Chartered Accountants (Auditor), Chennai, who is one of the empanelled Auditors by the Hon'ble High Court of Madras to look into the Scheme of Amalgamation, and to scrutinize the books of accounts of the Transferor Company. The Auditor has broadly reviewed and observed that under Clause 9.1 of Part-II of the proposed Scheme, the interest of all the staffs, workmen and the employees in the service of the Transferor Company is safeguarded.

11. The OL has further submitted that as per Clause 12.1 of part-II of the said Scheme, the Transferor Company is a wholly-owned subsidiary of the Transferee Company and the entire paid-up share

capital of the Transferor Company is held by the Transferee Company directly and through its nominees. On the Scheme coming into effect, the entire issued, subscribed and paid-up share capital of the Transferor Company shall, ipso facto, without any further application, act, deed or instrument stand extinguished and cancelled and no new shares of the Transferee Company will be issued or allotted with respect to the shares held in the Transferor Company.

12. It is noted that the Transferee Company was not required to file Company Petition, because the Transferor Company is a wholly-owned subsidiary of the Transferee Company. In this connection, a reference may be made to the Judgement of the Hon'ble High Court of Delhi given in *Sharat Hardware Industries P. Ltd.,* in re [(1978) 48 Com Cas 23], wherein the Court observed that *"... if a scheme by way of transfer of undertaking does not affect the rights of the members or creditors of the Transferee Company, as between themselves and the company, or does not involve a reorganisation of the share capital of the*

Transferee Company, no application by the Transferee Company under Section 391 or Section 394 would be necessary."

13. The OL has observed that the Transferor Company has various demands pending with the Income Tax Department relating to different Assessment Years. Details of all the pending demands and scrutiny assessments have been attached in their auditor's report at page Nos. 13 & 14. The company has never issued dividends and there are no unclaimed dividends or unpaid dividends. The company's calculation of their PF liability is not accordance with the provisions of the Employee's Provident Fund and Miscellaneous Provisions Act, 1952 and there is no liability to the Employees State Insurance (ESI) contribution. The company has a pending dispute with the Central Excise Department, to the tune of Rs.2,23,000/- relating to Financial Year 2015-2016, the same is pending before the Deputy Commissioner of Central Excise, Ankleshwar.

14. The OL has further submitted that the Chartered Accountants have examined the records available with the Transferor Company have not come across any act of misfeasance by the Directors or that of the business of the Transferor Company has not been conducted to defraud the creditors of the Transferor Company or for any fraudulent purpose, and have not been conducted in a manner prejudicial to the interest of its members or the general public, which would attract the provisions of Sections 542/543 of the Companies Act, 1956, and other relevant Sections of the Companies Act, 2013. The OL has not raised any objection.

15. With regard to the observation made under para 6 of the OL's report, the authorised representative of the Transferor Company has filed an Affidavit deposing therein that under Clause 9 of Part-II of the proposed Scheme of Amalgamation, the interest and benefits including provident fund, gratuity, leave encashment and any other special scheme or benefits created or existing for the benefit of such employees of the Transferor Company shall continue to be provided on

such terms and conditions as are no less favourable than those provided by the Transferor Company without any interruption of service as a result of this amalgamation. He has further stated that the Company is in full compliance of the provisions of the Provident Fund Act and the same has been certified by an independent Chartered Accountants through his report dated 13th March 2019.

16. The authorised representative of the Transferor Company has also stated that under Clause 6 of Part-II of the proposed Scheme of Amalgamation, all suits, actions and other proceedings including legal and taxation proceedings, (including before any statutory or quasi-judicial authority or Tribunal or Court authorities as the case be) by or against the Transferor Company pending on the Effective Date shall be continued and/or enforced by or against the Transferee Company as effectually and in the same manner and to the same extent as if the same had been instituted by or against the Transferee Company. He has further stated that as per Clause 4.2 of the

Scheme, all liabilities whether provided for or not in the books of accounts of the Transferor Company, including all other liabilities which may accrue or arise after the Appointed Date of the Transferor Company shall be transferred or deemed to be transferred to and vest in and be assumed by the Transferee Company without any further act and deed and would be paid off by the Transferee Company in the normal course of business as and when the same becomes due.

17. As mentioned in Clause 13 of Part-II of the Scheme, it appears that the Accounting Treatment is in conformity with the Accounting Standards. The Appointed date of the said Scheme is 01.01.2018.

18. There is no additional requirement for any modification and the revised Scheme of Amalgamation appears to be fair and reasonable and is not contrary to public policy and not violative of any provisions of law. All the statutory compliances have been made under Sections 230 to 232 of the Companies Act, 2013. Taking into consideration the above facts, the Company Petition is allowed and the revised Scheme of

Amalgamation annexed with the Petition is hereby sanctioned. The Scheme approved shall be binding on the Shareholders, Creditors and employees of the Companies involved in this Scheme.

19. While approving the Scheme as above, It is further clarified that this Order will not be construed as an order granting exemption from payment of stamp duty or taxes or any other charges, if payable, as per the relevant provisions of law or from any applicable permissions that may have to be obtained or, even compliances that may have to be made as per the mandate of law.

20. The Companies to the said Scheme or other person interested shall be at liberty to apply to this Bench for any direction that may be necessary with regard to the working of the said Scheme.

21. A certified copy of this Order shall be filed with the concerned Registrar of Companies within 30 days of the receipt of this Order.

22. The Transferor Company shall be dissolved without winding up from the date of the filing of the certified copy of this Order with the concerned Registrar of Companies.

23. Upon receiving the certified copy of this Order, the RoC concerned is directed to place all documents relating to the Transferor Company with that of the Transferee Company and the files relating to the Transferor Company shall be consolidated with the files and records of the Transferee Company.

24. The Order of sanction to this Scheme shall be prepared by the Registry as per the relevant format provided under the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 notified on 14th December, 2016.

25. Accordingly, the Scheme stands sanctioned and CP/371/CAA/2019 stands **disposed of.**

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(CH. MOHD SHARIEF TARIQ)
MEMBER (JUDICIAL)

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